

States **CHHATTISGARH**

development of the state," Raman says.

In all, 65 MOUs for an additional generating capacity of 56,000 MW are under different stages of execution. What his Government has done is to tie up with Independent Power Producers (IPPs) that are setting up pit-head power plants to give 5 per cent of the power produce to Chhattisgarh at variable cost. This share becomes 7.5 per cent if the IPP is allotted a coal block in the state. The Government also has a right of refusal on the first 30 per cent of power generated.

While some units, like the first two of Lanco Amarkantak, are already commissioned, projects of GMR Energy (1,200 MW), RKM Powergen (1,440 MW), Vandana Vidyut (540 MW) and Bharat Aluminium (1,200 MW) will be commissioned by 2012. Around 30,000 MW of additional capacity would be added in the next seven years. Out of this, 7.5 per cent works out to 2,200 MW. Likewise, the 30 per cent power on which Chhattisgarh has the first right to refusal means 9,000 MW. If a profit margin of Rs 3 per unit for 2,200 MW and Rs 2 per unit for 9,000 MW is taken, the state is likely to have a recurring income of at least Rs 15,000 crore every year just by trading power.

These are staggering figures. An additional annual purse of Rs 15,000 crore could turn Chhattisgarh into a rare revenue surplus state, help plan subsidies and even turn tax free, says Aman Singh, Secretary in the Chief Minister's Secretariat. It is the only state that is officially power cut-free in the country. The per capita energy consumption of Chhattisgarh is above the national average and is expected to cross 1,000 units by the end of the current fiscal. With surplus electricity already at his disposal, Raman's plan is clear—to sell the state as an ideal investment destination for the industry.

Yet, Chhattisgarh's air-connectivity ends at its capital Raipur and puts a major constraint on the movement of top executives, especially as road travel is considered unsafe due to the Maoists. To overcome the problem, the



THE CHIEF MINISTER ADDRESSES A TRIBAL MEET

“The real challenge is to ensure a trickle-down effect of the turnaround in the state's economic scene.”

RAMAN SINGH, Chief Minister, Chhattisgarh

Government recently invited bids from private players to operate an inter-district air taxi service. A shortlisted bidder will operate a fleet of small aircraft to emerging industrial hubs like Bilaspur, Korba, Raigarh, Jashpur and Ambikapur. To off-set any loss to the agency from unoccupied seats, the Government will pick the tab for up to half of the total seating capacity of the aircraft. “Once we get the required clearance from the Directorate General of Civil Aviation, the project

will take off,” says R.S. Vishwakarma, Secretary, state Civil Aviation.

Raman has learnt over the years and his policies have grown nuanced. Immediately after taking over in his first stint, he had hit a number of false notes like distribution of free bovines to tribals to impress the Hindutva hardliners. The schemes were non-starters till he came up with the highly subsidised rice scheme for the poor at Rs 2 per kg. While the scheme gave his campaign sufficient buoyancy to earn